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Fuyao A&H

Worst behind, catalyst still elusive

Fuyao A/H shares rose 3.1%/2.7%, respectively, yesterday (Aug 19, vs. SSE -2.4%, HSI +0.1%) following the company's 1H26 results. On the earnings call, management noted that 2Q26 was likely the trough for China auto production, with customer rolling orders pointing to a sequential recovery in 3Q26. Beyond the near-term cyclical recovery, management remains constructive on the structural content growth from auto intelligence, with rising penetration of value-added products supporting continued ASP growth. Overseas expansion also remains a key long-term growth driver, with management targeting overseas revenue contribution to increase from 44% currently to ~50% over time, supported particularly by EV growth and further share gains in Europe. We have summarized the earnings call and JPM NDR call key takeaways on page 2. *While we believe the worst is over for Fuyao Glass, we see current valuations as fair and hence retain our Neutral ratings.*

- **Overseas growth remained solid; Europe to lead future growth.** 1H26 overseas auto-glass revenue grew 2.6% y/y, or 5.1% y/y excluding the Rmb234mn ARG tariff refund impact. Overseas revenue was also partly dragged by **ARG destocking**, with management expecting the destocking impact to last for around one quarter to six months, while overseas OEM revenue continued to deliver double-digit growth, mainly driven by market share gains. Looking ahead, management expects Europe to grow faster than the US, while the US should continue to grow at a moderate pace. Longer term, management expects overseas revenue contribution to increase from 44% currently to ~50%, supported by further market share gains as competitors continue to scale back their auto-glass businesses.
- **Underlying GPM remained decent; management expects a relatively stable cost environment in 3Q26.** Excluding the 1.28ppt one-off benefit from the US OEM tariff refund, 2Q26 GPM was 38.9%, up 0.4ppts y/y and 1.5ppts q/q. The y/y improvement was mainly driven by operational efficiency gains, including better yield, process efficiency and a higher value-added product mix, together with a 0.39ppt benefit from soda ash and energy costs; these more than offset headwinds from higher D&A and labor costs of ~0.7ppt each, higher freight costs of ~0.3ppt and customer sales rebate of ~1.15ppts. Looking into 3Q26, management expects soda ash and energy prices to remain broadly stable, while freight costs may increase modestly, and therefore expects cost factors to remain relatively stable from the 2Q26 level excluding the one-off tariff benefit. Sales rebate will usually be higher in 2H vs. 1H.

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev End Date	
Fuyao Glass - A	600660 CH	22,405	CNY	57.90	N	n/c	60.00	Jun-27	58.00	n/c
Fuyao Glass - H	3606 HK	4,510	HKD	58.30	N	n/c	60.00	Jun-27	58.00	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 19 Aug 26.

See page 20 for analyst certification and important disclosures, including non-US analyst disclosures.

- **ASP growth remains a structural story on rising value-added product penetration.** 1H26 ASP reached Rmb259.6/sqm, +7.4% y/y, or +8.7% y/y excluding the ARG tariff refund impact. ASP growth continued to be driven by higher penetration of value-added products, which accounted for 59.7% of auto-glass revenue in 1H26, up 8.0ppts y/y. Management sees auto intelligence as a long-term structural driver of glass content and ASP. In particular, dimming glass is currently concentrated in vehicles priced above Rmb300k but is expected to penetrate the Rmb200k segment over the next 3-5 years, with management ultimately seeing penetration approaching ~50%. Management therefore remains confident in sustained ASP growth over the medium to long term.
- **US operations to improve further in 2H26 as Phase II resumes production.** 2Q26 US OPM reached 23.9%, including a 6.47ppt benefit from the tariff refund; excluding this one-off benefit, OPM was 17.5%, broadly flat vs. 17.6% in 2Q25. Underlying profitability remained resilient despite higher electricity costs and the Phase II fire, mainly as production was shifted to Phase I, driving higher utilization, production efficiency and yield. 2Q also included the usual US government incentives of ~US \$1mn, broadly similar to last year, related to local investment and employment incentives. Management expects the fire-affected Phase II facility to largely resume operations by end-September. The fire resulted in around US\$19.7mn of losses, against which Fuyao had already received US\$6.5mn of insurance proceeds, with another US\$10.9mn received last week and expected to be recognized in 3Q26.
- **FYSAM losses continued to narrow; China aluminum trim profitability improved notably q/q.** FYSAM recorded a EUR2.17mn loss in 1H26, narrowing by EUR1.31mn y/y, and management continues to expect the business to reach breakeven for FY26. China aluminum trim revenue increased 2.3% y/y to ~Rmb610mn, with the relatively soft growth mainly due to weak domestic auto production. OPM, however, improved materially to 7.4% in 2Q26 from 2.27% in 1Q26. Management expects to further strengthen the integration and cross-selling of aluminum trim with its core auto-glass business.
- **Limited impact from export VAT rebate changes.** Management expects limited earnings impact from the latest export VAT rebate adjustment, as the policy mainly affects products under the 7007 customs code, including basic glass products, while the majority of Fuyao's exports are higher-value-added integrated products under the 8708 code, which are largely unaffected. Management also noted that the impact from the previous rebate cut from 13% to 9% in 2024 has already been absorbed through product mix improvement and price pass-through to customers.
- **Earnings revisions and PT:** We have slightly trimmed Fuyao's net profit by 5%/1% in 2026/27E, respectively, to reflect the 2Q results. We remain Neutral on Fuyao A and H. We lift our A/H PTs to Rmb60/ HK\$60 to reflect higher multiples as we believe the worst is over for China auto production.

Adj. EPS Estimate Changes

Rmb		FY26E			FY27E		
Company	BBG Ticker	Prev	Cur	Δ	Prev	Cur	Δ
Fuyao Glass - A	600660 CH	3.65	3.45	(5.53%)	4.18	4.12	(1.41%)
Fuyao Glass - H	3606 HK	3.65	3.45	(5.53%)	4.18	4.12	(1.41%)

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Key takeaways from result briefing and JPM NDR call

Q: What is driving the rising contribution from value-added products, and what is the ASP outlook?

Management attributed the increase primarily to vehicle intelligence, as automotive glass is increasingly becoming an interactive interface within the smart cockpit. Value-added products accounted for 59.7% of auto-glass revenue in 1H26, up 8.03ppt y/y, with dimming products contributing c.4ppt of the increase. Dimming glass is currently used mainly in vehicles priced above Rmb300k, but management expects adoption to extend to the Rmb200k segment over the next 3-5 years, with eventual passenger vehicle penetration potentially approaching 50%.

Reported ASP increased 7.43% y/y in 1H26, or 8.66% y/y excluding the tariff-related revenue deduction. Domestic ASP maintained double-digit growth, supported by the ramp-up of dimming products, while ASP growth in Europe and the US was c.5%, leaving further upside as vehicle intelligence penetration increases overseas. Fuyao's overseas revenue currently accounts for 44% of total revenue and could increase to c.50% over the longer term.

Q: How did growth differ by region, and what is the demand outlook for 3Q26?

Overseas auto-glass revenue grew 2.55% y/y in 1H26, or 5.09% y/y excluding the Rmb234mn tariff-related revenue deduction, faster than domestic growth of 4.8% y/y on an adjusted basis. Looking ahead, management expects Europe to grow faster than the US, while US revenue should continue to increase but at a slower pace.

Overseas OEM revenue maintained double-digit growth, mainly driven by market-share gains, while aftermarket revenue was affected by customer destocking. Based on the previous cycle, management expects destocking to last around one to six months before purchasing normalizes.

China passenger vehicle retail demand remained relatively weak in 3Q26, but Fuyao's sales are expected to improve both q/q and y/y, partly supported by continued export strength. Management believes 2Q26 marked a low point for China auto production, although the subsequent recovery remains moderate.

Q: Impact from the tariff refund in the US?

Fuyao passed 100% of the additional US tariff cost in the aftermarket business to customers. The subsequent Rmb234mn ARG tariff refund was therefore returned to customers and deducted from 1H26 revenue. By contrast, Fuyao absorbed around 30% of the total additional tariffs, entirely related to OEM business. The Rmb148mn OEM tariff refund recognized in 2Q26 was recorded as a reduction in COGS.

Q: What drove the improvement in 2Q26 GPM, and what is the cost outlook?

2Q26 GPM reached 40.17%, including a Rmb148mn cost reversal related to tariff refunds from US customs and OEM customers, which contributed 1.28ppt. Excluding

this one-off benefit, GPM still improved by 0.4ppt y/y, supported by a richer product mix, higher production yields, process optimization and lower soda ash and energy costs, despite customer price reductions and higher freight costs.

Management expects underlying GPM to remain broadly stable in 3Q26. Soda ash and energy prices should remain broadly stable, although natural gas prices could increase modestly during the winter heating season. Freight costs have risen but remain manageable. While the tariff benefit will not recur, product mix upgrades and operational efficiency gains should continue to support margins.

Q: How profitable was the US operation, and when will the fire-affected capacity recover?

The US operation recorded an operating margin of 23.93% in 2Q26, including a 6.47ppt contribution from tariff refunds. Excluding this benefit, the operating margin was 17.46%, broadly stable versus 17.59% in 2Q25.

The US operation also receives c.US\$1mn of recurring government incentives annually under investment agreements and employee tax rebate arrangements. The amount was broadly stable y/y and is amortized over 10-15 years.

Following the fire, Fuyao used its global production network (i.e. export from China) to maintain customer deliveries, with no impact on product development or quality. Part of the production originally allocated to Phase II was transferred to Phase I, raising Phase I utilization and supporting efficiency and yields despite higher US electricity costs since 3Q25.

Management expects the fire-affected Phase II facility to fully resume operations by end-Sep 2026. Supplementary seaborne shipments from China should then gradually stop, reducing the related freight burden. US operations should improve in 2H26 as production resumes, while customer confidence has not been affected.

Fuyao had already received US\$6.5mn of fire-related insurance compensation, with a further US\$10.88mn received last week and expected to be recognized in 3Q26. Compensation related to assets will be accounted for against capex, while compensation related to expenses will be recognized against the relevant costs.

Q: What is the progress of the aluminum trim business?

FYSAM's German aluminum trim business recorded a loss of EUR2.17mn in 1H26, narrowing by EUR1.31mn y/y. Management expects the business to reach breakeven for FY26.

The China aluminum trim business generated Rmb610mn of revenue in 1H26, up c.2.3% y/y. Its operating margin improved to 7.4% in 2Q26 from 2.27% in 1Q26. Fuyao plans to strengthen the commercial and product synergies between aluminum trim and automotive glass.

Q: How is the European auto glass competitive landscape changing?

In Europe, management believes competitors including Saint-Gobain and NSG are gradually reducing their focus on automotive glass, weakening their capabilities and

driving continued order transfers to Fuyao. Some customers previously served by competitors have already begun sourcing from Fuyao. Management therefore expects European growth to outpace the US.

Q: What is the outlook for sales rebates?

1) Sales rebates accounted for 1.16% of revenue in 1H26, below management's FY26 guidance of less than 2%. Fuyao will continue negotiating with customers on an order-by-order basis in 2H26, seeking to balance customer pricing pressure with its profitability. Rebate pressure is normally higher in 2H, but management expects product mix improvements to help absorb the impact. Rebates are recognized as invoice discounts and deducted directly from revenue, with no advance accrual.

Q: Guidance on dividends and capex?

Fuyao's historical cumulative payout ratio is close to 65%, while its interim payout ratio reached 65.73%, broadly consistent with its established dividend policy. Management reiterated its commitment to shareholder returns, with future payouts to be adjusted based on the operating environment.

1H26 capex, including bills payable, amounted to Rmb2.77bn. Fuyao maintained its FY26 capex budget of Rmb7.73bn, covering projects including the new Anhui production base and a US coating line. Management expects normalized annual capex to decline toward c.Rmb6bn after the current expansion phase, mainly for upgrades to existing production lines.

Q: What are the potential impacts from export tax rebate changes?

The export tax rebate adjustment covers HS codes 7007 for processed glass and 8708 for automotive components. Fuyao's exports are predominantly higher-value integrated products classified under HS code 8708, while HS code 7007 products account for only a very small proportion. Management therefore expects a limited GPM impact. The previous reduction in the HS 7007 rebate rate from 13% to 9% had already been absorbed through product mix upgrades and customer price adjustments.

Q: FX gains and losses

The FX loss in 1H26 mainly reflected fluctuations in the US dollar and euro. Management estimated that a 1% one-way movement in Rmb against the US dollar would affect PBT by c.Rmb200mn+.

Table 1: Earnings revisions

RMBmn	2026E			2027E		
	Revised	Previous	% change	Revised	Previous	% change
Net Sales	47,426	47,731	-1%	52,658	52,921	0%
Sales growth (yoy)	4%	4%		11%	11%	
COGS	29,066	29,528	-2%	32,303	32,806	-2%
Gross profit	18,360	18,203	1%	20,355	20,114	1%
Gross margin	38.7%	38.1%		38.7%	38.0%	
Operating profit	10,688	11,282	-5%	12,750	12,925	-1%
Operating margin	23%	24%		24%	24%	
Pre-tax profit	10,664	11,282	-5%	12,750	12,925	-1%
Tax rate	16%	16%		16%	16%	
Net profit	8,999	9,521	-5%	10,760	10,908	-1%
Net margin	19.0%	19.9%		20.4%	20.6%	
Net profit growth	-3%	2%		20%	15%	
Net profit excl non-recurring item						
EPS (basic)	3.57	3.65	-2%	4.12	4.18	-1%

Source: J.P. Morgan estimates

Table 2: Fuyao quarterly results

RMB mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	YoY	QoQ
Net Sales	9,910	11,537	11,855	12,486	10,413	11,558	0%	11%
Sales growth (y/y)	12.2%	21.4%	18.9%	14.1%	5.1%	0.2%		
Gross profit	3,508	4,440	4,493	4,623	3,892	4,642	5%	19%
Gross profit margin	35.4%	38.5%	37.9%	37.0%	37.4%	40.2%	2%	3%
Operating profit	2,484	3,300	2,788	2,613	2,018	2,705	-18%	34%
Operating margin	25.1%	28.6%	23.5%	20.9%	19.4%	23.4%		
Pre-tax profit	2,486	3,308	2,783	2,585	2,028	2,610	-21%	29%
Tax rate	18.3%	16.1%	18.8%	13.0%	15.6%	13.4%		
Net profit	2,030	2,775	2,259	2,248	1,712	2,259	-19%	32%
Net margin	20.5%	24.1%	19.1%	18.0%	16.4%	19.5%		
Net profit growth	46.3%	31.5%	14.1%	11.4%	-15.7%	-18.6%		
Net profit excl non-recurring item	1,987	2,720	2,215	2,243	1,643	2,236	-18%	36%
PBT excluding FX gain/loss	2,250	2,942	2,905	2,767	2,467	2,974	1%	21%
Margin %	22.7%	25.5%	24.5%	22.2%	23.7%	25.7%		

Source: Company data.*Pls note accounting changes for GPM in FY24 results.

Table 3: Fuyao Glass – auto glass revenue/ASP and volume growth

	FY23	FY24	FY25	1Q25	1H25	9M25	FY25	1Q26	1H26
ASP y/y growth	5.9%	7.4%	8.1%	3.5%	6.2%	6.9%	8.1%	11.0%	7.4%
Volume y/y growth	10.2%	11.2%	8.5%	7.8%	9.3%	10.6%	8.5%	-3.7%	-3.4%
Auto glass revenue growth (y/y)	17%	19%	17%	11%	16%	18%	17%	7%	3.8%
- domestic auto glass rev growth	n/a	19%	15%	12%	14%	15%	15%	3%	4.8%
- overseas auto glass rev growth	n/a	20%	21%	11%	19%	22%	21%	11%	2.6%
sales rebate as % of revenue	0.78%	0.97%	1.61%	1.25%	1.35%	1.57%	1.61%	1.17%	1.16%

Source: Company data. Pls note ASP growth would have been 8.7% y/y and overseas revenue growth would have been 5.1% y/y in 1H26 if excluding tariff-related accounting.

Table 4: Fuyao's US operations

RMB mn	2022	2023	2024	2025	YoY	1H23	2H23	1H24	2H24	1H25	2H25	1H26	YoY	HoH
Revenue	4,572	5,570	6,318	7,917	25%	2,544	3,026	3,359	2,959	3,852	4,065	3,975	3%	-2%
y/y	17%	22%	13%	25%		14%	29%	32%	-2%	15%	37%	3%		
Operating profit	454	633	827	1,051	27%	257	375	504	323	591	459	734	24%	60%
OPM	9.9%	11.4%	13.1%	13.3%	0.2%	10.1%	12.4%	15.0%	10.9%	15.3%	11.3%	18.5%	3.1%	7.2%
Net profit	345	494	627	884	41%	190	304	387	240	433	450	467	8%	4%
NPM	7.6%	8.9%	9.9%	11.2%	1.2%	7.5%	10.0%	11.5%	8.1%	11.2%	11.1%	11.8%	0.5%	0.7%

Source: Company reports and J.P. Morgan calculations. Note: 2Q26 US OPM reached 23.9%, including a 6.47ppt benefit from the tariff refund; excluding this one-off benefit, OPM was 17.5%, broadly flat vs. 17.6% in 2Q25.

Table 5: Key drivers of FYG margin

	FY21	FY22	FY23	FY24	FY25	1Q25	1H25	9M25	1Q26	1H26
Impact on margin	YoY (bps)	YoY (bps)	YoY (bps)	YoY (bps)	YoY (bps)	YoY (bps)	YoY (bps)	YoY (bps)	YoY (bps)	YoY (bps)
Soda ash cost	-45	-65		30	43	60	38	34	30	39
Energy cost		-148								
Sea freight cost	-98		75	-75	51	-20		37	70	-33
Efficiency improvement					45	96	74	52	96	
Operating leverage			61		10	-40	35	39	-30	
capacity utilization			61							-70
Labor cost						-40				-70
One-off tariff rebate										128
sales rebate as % of revenue	0%	0%	0.78%	0.97%	1.61%	1.25%	1.35%	1.57%	1.17%	1.16%

Source: Company data and J.P. Morgan calculations. Pls note: FY21-23 impact on GPM; FY24, 1Q25, 1H25, 9M25 and FY25 impact on core NPM; core NPM = (revenue -COGS- sales & marketing exp- admin exp - R& expense - FX - interest income)/revenue

Fuyao Glass high-value added products

Table 6: FYG's high value-added products as % of auto glass revenue

	FY24	FY25	FY25 y/y		1Q26	1Q26 y/y		1H23	1H24	1H25	1H26	1H26 y/y
Key high value-added products as % of revenue												
Panoramic (large sunroof) glass	11.6%	13.9%	2.3%		14.3%	2.9%		7.4%	8.4%	11.5%	14.3%	2.8%
HUD (heads-up display) glass	10.6%	11.8%	1.2%		12.5%	1.9%		5.9%	7.9%	10.9%	12.6%	1.6%
Coated and heat-protecting glass	3.8%	4.2%	0.4%		1.9%	-0.3%		2.5%	3.5%	2.2%	1.7%	-0.5%
Glass with ADAS camera	9.7%	9.8%	0.1%		10.0%	-0.5%		7.2%	8.3%	10.5%	10.2%	-0.3%
Soundproof glass	5.9%	6.6%	0.7%		7.9%	2.2%				5.8%	8.0%	2.2%
Dimming glass		0.8%	0.6%		1.6%	1.3%				0.4%	2.1%	1.6%
Total high value-added products as % of	48.8%	54.2%	5.4%		57.6%	7.6%		52.2%	45.9%	51.7%	59.7%	8.0%

Source: Company data.

Capacity

The 1.5mn sets of US Phase II capacity was put into production at the beginning of 2025 and ramp-up is underway. Mgmt guided ~30% UTR of US phase II in 2025, ~65% UTR in 2026, and >80% UTR in 2027.

The production capacity of 1mn sets each in Fuqing and Anhui bases completed construction by Sep-2025 and another 2mn sets each in Fuqing and Anhui base completed construction by Nov-2025. The 6mn sets capacity was put into production by end-2025. Management expects 40% UTR of the 600mn sets new capacity in 2026 and 75% UTR in 2027. The company expects the remaining 5mn capacity expansion will be put into production in 2027.

Table 7: Fuyao auto glass capacity

Units (mn sets)	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Domestic																		
Fuqing	4	4	4	4	4	4	4	4	4	4	4	4	4	4	5	7	9	9
Changchun	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3
Chongqing	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5
Shanghai	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3
Guangzhou	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5
Hubei	6	6	6	6	6	6	6	6	6	6	6	6	6	6	6	6	6	6
Zhengzhou			3	3		3	3	3	3	3	3	3	3	3	3	3	3	3
Shenyang					1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5
Tianjing							4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5
Suzhou							2	2	2	2	2	2	4	4	4	4	4	4
Hefei															1	3	6	6
Overseas																		
Russia				1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3
Ohio					5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	7	7	7	7
Total capacity (mn sets)	24.0	24.0	27.0	28.3	35.3	35.3	41.8	41.8	41.8	41.8	41.8	41.8	43.8	43.8	47.3	51.3	56.3	56.3
Total capacity (mn sqm)	81	84	100	105	130	130	154	156	158	161	164	167	179	182	201	231	231	231
Total capacity include production line upgrade (mn sets)															51.0	55.0	60.0	60.0
Total capacity include production line upgrade (mn sqm)															216	248	247	247

Source: Company data.

Table 8: Fuyao float glass capacity

Units (No. of production lines)	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Domestic																		
Fuqing, Fujian	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3
Wansheng, Chongqing		2	2	2	2	2	2	2	2	2	2	2	2	2	2	2	2	2
Tongliao, Inner Mongolia				2	2	2	2	2	2	2	2	2	2	2	2	2	2	2
Benxi, Fujian								2	2	2	2	2	2	2	2	3	3	3
Hefei, Anhui																1	2	2
Overseas																		
Illinois, US					2	2	2	2	2	2	2	2	2	2	2	2	4	4
Total capacity (No. of production lines)	3	5	5	7	9	9	9	11	11	11	11	11	11	11	11	13	16	16
Equivalent to auto glass (mn sets)	7.5	12.5	12.5	17.5	24.8	24.8	24.8	30.3	30.3	30.3	30.8	30.8	33.0	33.0	33.0	39.0	48.0	48.0
Float glass self-sufficiency ratio	37%	61%	54%	73%	82%	82%	70%	85%	85%	85%	87%	87%	89%	89%	82%	89%	100%	100%

Source: Company data. Note: Two float glass lines in the U.S. can be used for solar back panel glass sales, depending on need.

Appendix 1: Global Auto Production

Table 9: IHS Jul-26 update: Global production volume (000s)

	FY 20	FY 21	FY 22	FY 23	FY 24	1Q 25	2Q 25	3Q 25	4Q 25	FY 25	1Q 26e	2Q 26e	3Q 26e	4Q 26e	FY 26e	FY 27e
Europe ex. Russia	15,228	14,431	15,303	17,341	16,319	4,190	4,287	3,689	4,133	16,299	4,211	4,203	3,651	3,987	16,052	15,967
Russia	1,343	1,460	524	625	856	176	185	183	205	749	182	213	203	250	849	917
Greater China	23,588	24,843	26,403	29,043	30,087	7,184	7,758	8,363	9,790	33,095	6,642	7,512	8,112	9,311	31,577	31,931
Japan/Korea	11,198	10,875	11,138	12,803	11,980	3,041	3,029	2,928	3,105	12,103	3,104	3,077	2,924	2,849	11,955	11,420
Middle East/Africa	1,780	2,053	2,242	2,301	2,350	667	536	597	632	2,431	519	448	444	506	1,916	2,180
North America	13,024	13,047	14,296	15,683	15,450	3,767	3,955	3,967	3,576	15,265	3,720	3,948	3,871	3,521	15,061	15,021
South America	2,246	2,606	2,823	2,912	2,962	687	773	841	756	3,057	714	831	835	749	3,129	3,351
South Asia	6,190	7,880	9,614	9,777	9,590	2,547	2,402	2,530	2,622	10,100	2,787	2,639	2,647	2,509	10,582	10,991
Global	74,596	77,195	82,343	90,485	89,594	22,259	22,924	23,098	24,817	93,098	21,878	22,872	22,687	23,682	91,120	91,778

Source: IHS Automotive.

Table 10: IHS Jul-26 update: Global production volume y/y%

	FY 20	FY 21	FY 22	FY 23	FY 24	1Q 25	2Q 25	3Q 25	4Q 25	FY 25	1Q 26e	2Q 26e	3Q 26e	4Q 26e	FY 26e	FY 27e
Europe ex. Russia	-22.1%	-5.2%	6.0%	13.3%	-5.9%	-5.3%	0.3%	4.4%	1.1%	-0.1%	0.5%	-4.2%	-2.7%	-3.6%	-2.5%	-0.3%
Russia	-16.4%	8.7%	-64.1%	19.4%	37.0%	-7.0%	-12.6%	-6.7%	-21.0%	-12.6%	7.8%	18.5%	12.3%	21.9%	15.4%	7.0%
Greater China	-4.4%	5.3%	6.3%	10.0%	3.6%	14.5%	11.0%	14.6%	2.8%	10.0%	-7.6%	-3.1%	-2.1%	-3.6%	-4.0%	1.2%
Japan/Korea	-14.6%	-2.9%	2.4%	14.9%	-6.4%	7.0%	0.3%	0.8%	-3.5%	1.0%	2.1%	-0.9%	-2.6%	-8.9%	-2.6%	-3.7%
Middle East/Africa	-11.5%	15.3%	9.2%	2.7%	2.1%	17.2%	-3.1%	-2.9%	2.9%	3.4%	-22.4%	-24.0%	-28.4%	-21.2%	-23.9%	17.1%
North America	-20.2%	0.2%	9.6%	9.7%	-1.5%	-5.0%	-3.5%	5.2%	-1.1%	-1.2%	-1.3%	-1.4%	-2.5%	-1.9%	-1.8%	0.1%
South America	-31.4%	16.1%	8.3%	3.2%	1.7%	10.1%	11.9%	-1.9%	-4.3%	3.2%	3.8%	3.7%	-0.7%	-0.4%	1.5%	7.6%
South Asia	-26.5%	27.3%	22.0%	1.7%	-1.9%	0.1%	5.8%	3.6%	12.4%	5.3%	9.4%	6.5%	2.0%	-5.5%	3.0%	3.9%
Global	-16.1%	3.5%	6.7%	9.9%	-1.0%	3.9%	3.7%	6.9%	1.6%	3.9%	-2.5%	-2.8%	-3.3%	-5.4%	-3.5%	1.0%

Source: IHS Automotive.

Appendix 2: Cost trends: commodity, natural gas and shipping

- **Soda ash price** remained under pressure, though the decline continued to moderate. Prices were down 14% y/y in 1Q26, 7% y/y in 2Q26, and 5% y/y in 3Q26-to-date, while showing signs of stabilization sequentially (+2% q/q in 1Q26, +1% q/q in 2Q26). YTD26 prices are down 7% vs FY25.
- **US natural gas prices** rebounded into 1Q26 (+14% y/y, +27% q/q) following a recovery in late 2025, but corrected sharply in 2Q26 (-7% y/y, -38% q/q) and remained soft in 3Q26-to-date (-6% y/y). YTD26 prices are broadly flat vs FY25.
- **Sea freight (CCFI, SCFI) prices** rebounded sharply through 2Q26 and into 3Q26. CCFI was up 16% y/y in 2Q26 and 55% y/y in 3Q26-to-date, while SCFI increased 42%/115% y/y, respectively. Sequential momentum also strengthened (CCFI +20% q/q; SCFI +55% q/q in 2Q26). YTD26 freight rates are up 21% (CCFI) and 48% (SCFI) vs FY25.
- **Aluminium prices** remained elevated in 2026, rising 18% y/y (+12% q/q) in 1Q26 and 20% y/y in 2Q26. While sequential gains moderated (+1% q/q in 2Q26), prices remained 13% above year-ago levels in 3Q26-to-date. YTD26 aluminium prices are up 15% vs FY25.

Table 11: Cost trends in 1Q25 to YTD26 (Average spot prices)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26 so far	FY24	FY25	YTD26
Soda ash price	180	169	152	152	154	157	144	239	163	152
CCFI - China Container Freight Shipping Index	1,350	1,162	1,205	1,075	1,129	1,350	1,865	1,543	1,198	1,448
SCFI - Shanghai Container Freight Shipping Index	1,762	1,645	1,481	1,440	1,507	2,337	3,190	2,494	1,582	2,344
SCFI US-West Coast Container Freight Shipping Index	3,266	3,076	1,947	1,919	2,037	3,652	6,067	4,960	2,552	3,919
SCFI US-East Coast Container Freight Shipping Index	4,544	4,462	3,133	2,740	2,868	4,740	8,339	6,421	3,720	5,316
SCFI Shanghai- Europe Container Freight Shipping Index	1,829	1,466	1,680	1,373	1,546	2,129	3,232	3,111	1,587	2,302
Steel price - China domestic HRC	3,419	3,271	3,434	3,307	3,273	3,380	3,278	3,675	3,358	3,310
Steel price - China domestic CRC	4,151	3,821	3,925	3,866	3,767	3,820	3,765	4,252	3,941	3,784
China Shanghai Changjiang Aluminium Spot Price	20,449	20,202	20,736	21,539	24,030	24,244	23,381	19,920	20,731	23,885
Natural gas US	4.16	3.18	3.02	3.73	4.74	2.96	2.84	2.15	3.52	4
Natural gas China - China LNG Import price index	138	131	132	123	118	157	180	143	131	152
China rubber price index	14,482	11,958	11,742	10,884	13,498	15,332	13,304	14,170	12,267	14,045
Copper price - LME Copper Spot	9,347	9,519	9,815	11,105	12,824	13,352	13,788	9,150	9,947	13,321
Copper price - SHJC Copper Spot	9,391	9,569	9,865	11,031	12,865	13,432	13,823	9,221	9,964	13,373

Source: J.P. Morgan, Bloomberg Finance L.P., SHPGX, Shanghai Shipping Exchange. 3Q26 so far refers to July 1 - Aug 18.

Table 12: Cost trends in 1Q25 to YTD26 (q/q & y/y)

	1Q25 y/y	2Q25 y/y	3Q25 y/y	4Q25 y/y	1Q26 y/y	2Q26 y/y	3Q26 so far y/y	1Q26 q/q	2Q26 q/q	Changes in 3Q26 so far	FY24 y/y	FY25 y/y	YTD y/y
Soda ash price	-37%	-33%	-33%	-22%	-14%	-7%	-5%	2%	1%	-7%	-24%	-32%	-7%
CCFI - China Container Freight Shipping Index	5%	-19%	-40%	-26%	-16%	16%	55%	5%	20%	16%	64%	-22%	21%
SCFI - Shanghai Container Freight Shipping Index	-12%	-37%	-52%	-36%	-14%	42%	115%	5%	55%	42%	148%	-37%	48%
SCFI US-West Coast Container Freight Shipping Index	-20%	-41%	-69%	-55%	-38%	19%	212%	6%	79%	19%	209%	-49%	54%
SCFI US-East Coast Container Freight Shipping Index	-19%	-29%	-63%	-48%	-37%	6%	166%	5%	65%	6%	154%	-42%	43%
SCFI Shanghai- Europe Container Freight Shipping Index	-27%	-54%	-59%	-47%	-16%	45%	92%	13%	38%	45%	252%	-49%	45%
Steel price - China domestic HRC	-14%	-2%	1%	-7%	-4%	3%	-5%	-1%	3%	3%	-9%	-9%	-1%
Steel price - China domestic CRC	-11%	55%	5%	-7%	-9%	-	-	-3%	1%	0%	-8%	-7%	-4%
China Shanghai Changjiang Aluminium Spot Price	7%	-4%	6%	5%	18%	20%	13%	12%	1%	20%	7%	4%	15%
Natural gas US	114%	-33%	43%	50%	14%	-7%	-6%	27%	-38%	-7%	-15%	64%	0%
Natural gas China - China LNG Import price index	-4%	-25%	-8%	-16%	-14%	19%	36%	-4%	32%	19%	-6%	-8%	16%
China rubber price index	12%	-19%	-22%	-25%	-7%	28%	13%	24%	14%	28%	22%	-13%	14%
Copper price - LME Copper Spot	11%	-2%	7%	21%	37%	40%	40%	15%	4%	40%	8%	9%	34%
Copper price - SHJC Copper Spot	10%	-2%	6%	18%	37%	40%	40%	17%	4%	40%	8%	8%	34%

Source: J.P. Morgan, Bloomberg Finance L.P., SHPGX, Shanghai Shipping Exchange. 3Q26 so far refers to July 1 - Aug 18.

Neutral

600660.SS, 600660 CH

Price (19 Aug 26):Rmb57.90

▲ **Price Target (Jun-27):Rmb60.00**

Prior (Jun-27):Rmb58.00

Asia Autos & EV Battery

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	3.65	3.45	-5.5%

Style Exposure

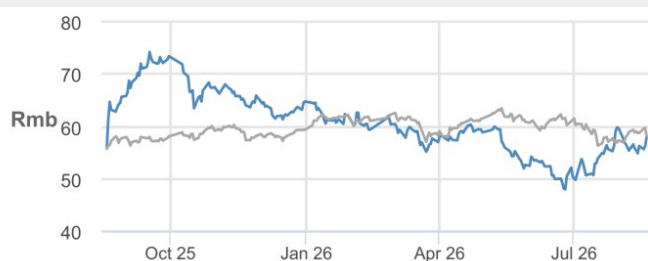
Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	57	52	57	59	64
Growth	33	23	34	67	42
Momentum	50	53	49	50	33
Quality	13	15	26	42	30
Low Vol	18	13	10	19	57
ESGQ	86	29	22	24	16

Fuyao Glass - A

Maintain Neutral

We update Fuyao Glass earnings post the 2Q result (-5%/ -1% for 2026E/ 27E) and lift our PT to Rmb60.

Price Performance



— 600660.SS Price (Rmb) — SHCOMP (rebased)

	YTD	1m	3m	12m
Abs	-10.6%	7.5%	5.1%	3.8%
Rel	-8.7%	4.0%	11.7%	-0.7%

Company Data

Shares O/S (mn)	2,610
52-week range (Rmb)	74.58-47.53
Market cap (\$ mn)	22,405
Exchange rate	6.74
Free float (%)	64.0%
3M ADV (mn)	13.71
3M ADV (\$ mn)	108.8
Volatility (90 Day)	29
Index	SSE
BBG ANR (Buy Hold Sell)	27 2 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	45,787	47,426	52,658	58,214
Adj. EBITDA	13,720	13,239	15,841	17,222
Adj. EBIT	11,185	10,688	12,750	14,353
Adj. net income	9,312	8,999	10,760	12,113
Net margin	20.3%	19.0%	20.4%	20.8%
Adj. EPS	3.57	3.45	4.12	4.64
BBG EPS	3.69	3.91	4.60	5.20
Cashflow from operations	12,055	12,918	14,774	17,235
FCFF	5,891	7,616	10,472	12,933
Margins and Growth				
Revenue Growth Y/Y (%)	16.7%	3.6%	11.0%	10.6%
EBITDA margin	30.0%	27.9%	30.1%	29.6%
EBITDA Growth Y/Y (%)	21.4%	(3.5%)	19.7%	8.7%
EBIT margin	24.4%	22.5%	24.2%	24.7%
Adj. EPS growth	24.4%	(3.4%)	19.6%	12.6%
Ratios				
Adj. tax rate	16.5%	15.6%	15.6%	15.6%
Interest cover	-	-	-	-
Net debt/Equity	0.0	NM	NM	NM
Net debt/EBITDA	0.1	NM	NM	NM
ROCE	16.7%	14.9%	16.3%	16.6%
ROE	25.4%	22.9%	24.6%	24.6%
Valuation				
FCFF yield	3.9%	5.0%	6.9%	8.6%
Dividend yield	3.6%	3.6%	4.3%	4.8%
EV/EBITDA	10.8	10.9	8.8	7.7
EV/Revenue	3.2	3.1	2.6	2.3
Adj. P/E	16.2	16.8	14.0	12.5

Summary Investment Thesis and Valuation

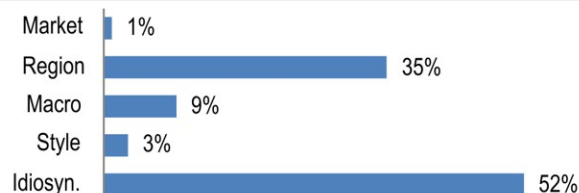
Investment Thesis

We like Fuyao Glass's leadership position in the global automotive glass market. Fuyao Glass benefits from the rising penetration of EV and ADAS in the auto industry, which brings higher value-add and higher unit value per vehicle. We expect Fuyao Glass to continue to gain share in overseas markets. However, we remain concerned about the near-term impact from slower global auto production and ongoing ARG destocking.

Valuation

We set our Jun-27 A-share PT at Rmb60 based on 15x 2027E P/E (vs. our previous PT at Rmb58 based on 14x 2027E P/E). We modestly raise our target multiple to reflect the recent trading trends. Our target multiple remains below the historical average to reflect weaker global auto production trends and a more challenging demand environment in the China market.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.03	0.12
Region: China	0.63	0.60
Macro:		
JPM Global Equity Sentiment	0.43	0.36
HSI Volatility Index	0.01	-0.22
JPM Forecast Revision EM	0.45	0.17
Quant Styles:		
Size	-0.71	-0.31
Quality	0.22	0.23
Momentum	-0.58	-0.21

Investment Thesis, Valuation and Risks

Fuyao Glass - A *(Neutral; Price Target: Rmb60.00)*

Investment Thesis

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Risks to Rating and Price Target

Upside/downside risks include better- or worse-than-expected auto glass sales, better- or worse-than-expected pricing pressure and better- or worse-than-expected operational performance at FYSAM.

Fuyao Glass - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	39,252	45,787	47,426	52,658	58,214	Cash flow from operating activities	8,562	12,055	12,918	14,774	17,235
COGS	(25,031)	(28,722)	(29,066)	(32,303)	(35,669)	o/w Depreciation & amortization	2,224	2,535	2,551	3,092	2,869
Gross profit	14,221	17,065	18,360	20,355	22,545	o/w Changes in working capital	(2,049)	(1,170)	1,904	549	1,926
SG&A	(4,069)	(4,731)	(4,932)	(5,371)	(5,938)	Cash flow from investing activities	56	(6,099)	(5,302)	(4,302)	(4,302)
Adj. EBITDA	11,299	13,720	13,239	15,841	17,222	o/w Capital expenditure	(5,481)	(6,164)	(5,302)	(4,302)	(4,302)
D&A	(2,224)	(2,535)	(2,551)	(3,092)	(2,869)	as % of sales	14.0%	13.5%	11.2%	8.2%	7.4%
Adj. EBIT	9,075	11,185	10,688	12,750	14,353	Cash flow from financing activities	(3,358)	(5,170)	(3,478)	(3,400)	(4,456)
Net Interest	-	-	-	-	-	o/w Dividends paid	(3,714)	(7,315)	(5,478)	(5,400)	(6,456)
Adj. PBT	8,991	11,162	10,664	12,750	14,353	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(1,487)	(1,845)	(1,660)	(1,985)	(2,234)	o/w Net debt issued/(repaid)	242	1,414	2,000	2,000	2,000
Minority Interest	(6)	(4)	(4)	(5)	(6)	Net change in cash	5,383	507	4,138	7,072	8,477
Adj. Net Income	7,498	9,312	8,999	10,760	12,113	Adj. Free cash flow to firm	3,081	5,891	7,616	10,472	12,933
Reported EPS	2.87	3.57	3.45	4.12	4.64	y/y Growth	(2.2%)	91.2%	29.3%	37.5%	23.5%
Adj. EPS	2.87	3.57	3.45	4.12	4.64						
DPS	1.80	2.10	2.07	2.47	2.78						
Payout ratio	62.7%	58.8%	60.0%	60.0%	60.0%						
Shares outstanding	2,613	2,608	2,610	2,610	2,610						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	18,785	19,274	23,412	30,484	38,961	Gross margin	36.2%	37.3%	38.7%	38.7%	38.7%
Accounts receivable	10,891	11,834	12,131	13,484	14,923	EBITDA margin	28.8%	30.0%	27.9%	30.1%	29.6%
Inventories	5,971	6,799	6,769	7,523	8,306	EBIT margin	23.1%	24.4%	22.5%	24.2%	24.7%
Other current assets	757	1,438	2,349	2,508	2,677	Net profit margin	19.1%	20.3%	19.0%	20.4%	20.8%
Current assets	36,403	39,345	44,661	53,999	64,867	ROE	22.3%	25.4%	22.9%	24.6%	24.6%
PP&E	22,959	26,428	28,992	30,027	31,294	ROA	12.5%	14.0%	12.2%	13.0%	12.8%
LT investments	441	413	408	403	398	ROCE	14.9%	16.7%	14.9%	16.3%	16.6%
Other non current assets	3,450	3,876	3,711	3,801	3,932	SG&A/Sales	10.4%	10.3%	10.4%	10.2%	10.2%
Total assets	63,254	70,062	77,772	88,229	100,491	Net debt/Equity	NM	0.0	NM	NM	NM
Short term borrowings	10,446	17,042	18,027	19,143	21,383	Net debt/EBITDA	NM	0.1	NM	NM	NM
Payables	2,796	3,059	6,244	9,784	13,693	Sales/Assets (x)	0.7	0.7	0.6	0.6	0.6
Other short term liabilities	4,747	5,465	5,478	5,915	6,366	Assets/Equity (x)	1.79	1.82	1.88	1.90	1.92
Current liabilities	17,989	25,566	29,750	34,842	41,442	Interest cover (x)	-	-	-	-	-
Long-term debt	7,213	3,669	3,669	3,669	3,669	Operating leverage	183.1%	139.7%	(124.3%)	174.9%	119.2%
Other long term liabilities	2,367	3,275	3,275	3,275	3,275	Tax rate	16.5%	16.5%	15.6%	15.6%	15.6%
Total liabilities	27,569	32,510	36,694	41,786	48,386	Revenue y/y Growth	18.4%	16.7%	3.6%	11.0%	10.6%
Shareholders' equity	35,694	37,556	41,078	46,438	52,095	EBITDA y/y Growth	27.3%	21.4%	(3.5%)	19.7%	8.7%
Minority interests	(9)	(4)	0	5	11	EPS y/y Growth	32.9%	24.4%	(3.4%)	19.6%	12.6%
Total liabilities & equity	63,254	70,062	77,772	88,229	100,491	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
BVPS	13.66	14.40	15.74	17.79	19.96	P/E (x)	20.2	16.2	16.8	14.0	12.5
y/y Growth	13.3%	5.4%	9.3%	13.0%	12.2%	P/BV (x)	4.2	4.0	3.7	3.3	2.9
Net debt/(cash)	(1,126)	1,437	(1,716)	(7,672)	(13,909)	EV/EBITDA (x)	12.9	10.8	10.9	8.8	7.7
						Dividend Yield	3.1%	3.6%	3.6%	4.3%	4.8%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Neutral

3606.HK, 3606 HK

Price (19 Aug 26):HK\$58.30

▲ **Price Target (Jun-27):HK\$60.00**

Prior (Jun-27):HK\$58.00

Asia Autos & EV Battery

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rebecca.y.wen@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	3.65	3.45	-5.5%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	51	49	53	52	59
Growth	39	33	41	74	64
Momentum	60	46	33	58	22
Quality	13	20	27	47	50
Low Vol	40	39	39	57	76
ESGQ	86	29	22	24	16

Fuyao Glass - H

Maintain Neutral

We update Fuyao Glass earnings post the 2Q result (-5%/ -1% for 2026E/ 27E) and lift our PT to HK\$60.

Price Performance



	YTD	1m	3m	12m
Abs	-13.2%	7.2%	1.5%	-0.5%
Rel	-8.2%	3.1%	3.4%	5.4%

Company Data

Shares O/S (mn)	607
52-week range (HK\$)	86.00-47.70
Market cap (\$ mn)	4,510
Exchange rate	7.84
Free float (%)	100.0%
3M ADV (mn)	2.90
3M ADV (\$ mn)	20.0
Volatility (90 Day)	33
Index	HSCEI
BBG ANR (Buy Hold Sell)	21 2 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	45,787	47,426	52,658	58,214
Adj. EBITDA	13,720	13,239	15,841	17,222
Adj. EBIT	11,185	10,688	12,750	14,353
Adj. net income	9,312	8,999	10,760	12,113
Net margin	20.3%	19.0%	20.4%	20.8%
Adj. EPS	3.57	3.45	4.12	4.64
BBG EPS	3.65	3.91	4.58	5.25
Cashflow from operations	12,055	12,918	14,774	17,235
FCFF	5,891	7,616	10,472	12,933
Margins and Growth				
Revenue Growth Y/Y (%)	16.7%	3.6%	11.0%	10.6%
EBITDA margin	30.0%	27.9%	30.1%	29.6%
EBITDA Growth Y/Y (%)	21.4%	(3.5%)	19.7%	8.7%
EBIT margin	24.4%	22.5%	24.2%	24.7%
Adj. EPS growth	24.4%	(3.4%)	19.6%	12.6%
Ratios				
Adj. tax rate	16.5%	15.6%	15.6%	15.6%
Interest cover	-	-	-	-
Net debt/Equity	0.0	NM	NM	NM
Net debt/EBITDA	0.1	NM	NM	NM
ROCE	16.7%	14.9%	16.3%	16.6%
ROE	25.4%	22.9%	24.6%	24.6%
Valuation				
FCFF yield	4.5%	5.8%	8.0%	9.9%
Dividend yield	4.2%	4.1%	4.9%	5.6%
EV/EBITDA	10.8	10.9	8.8	7.7
EV/Revenue	3.2	3.1	2.6	2.3
Adj. P/E	14.0	14.5	12.2	10.8

Summary Investment Thesis and Valuation

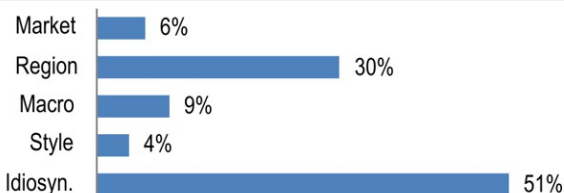
Investment Thesis

We like Fuyao Glass's leadership position in the global automotive glass market. Fuyao Glass benefits from the rising penetration of EV and ADAS in the auto industry, which brings higher value-add and higher unit value per vehicle. We expect Fuyao Glass to continue to gain share in overseas markets. However, we remain concerned about the near-term impact from slower global auto production and ongoing ARG destocking.

Valuation

We set our Jun-27 H-share PT at HK\$60 based on 13x 2027E P/E (vs. our previous PT at HK\$58 based on 12x 2027E P/E). We modestly raise our target multiple to reflect the recent trading trends. Our target multiple remains below the historical average to reflect weaker global auto production trends and a more challenging demand environment in the China market.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.30	0.25
Region: China	0.62	0.57
Macro:		
JPM Global Equity Sentiment	0.31	0.33
Markit EM Composite PMI SA	-0.47	-0.30
JPM EM Currency(EMCI) Fixing	0.30	0.20
Quant Styles:		
Size	-0.69	-0.39
Momentum	-0.64	-0.33
Quality	0.18	0.19

Investment Thesis, Valuation and Risks

Fuyao Glass - H *(Neutral; Price Target: HK\$60.00)*

Investment Thesis

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Risks to Rating and Price Target

Upside/downside risks include better- or worse-than-expected auto glass sales, better- or worse-than-expected pricing pressure and better- or worse-than-expected operational performance at FYSAM.

Fuyao Glass - H: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	39,252	45,787	47,426	52,658	58,214	Cash flow from operating activities	8,562	12,055	12,918	14,774	17,235
COGS	(25,031)	(28,722)	(29,066)	(32,303)	(35,669)	o/w Depreciation & amortization	2,224	2,535	2,551	3,092	2,869
Gross profit	14,221	17,065	18,360	20,355	22,545	o/w Changes in working capital	(2,049)	(1,170)	1,904	549	1,926
SG&A	(4,069)	(4,731)	(4,932)	(5,371)	(5,938)	Cash flow from investing activities	56	(6,099)	(5,302)	(4,302)	(4,302)
Adj. EBITDA	11,299	13,720	13,239	15,841	17,222	o/w Capital expenditure	(5,481)	(6,164)	(5,302)	(4,302)	(4,302)
D&A	(2,224)	(2,535)	(2,551)	(3,092)	(2,869)	as % of sales	14.0%	13.5%	11.2%	8.2%	7.4%
Adj. EBIT	9,075	11,185	10,688	12,750	14,353	Cash flow from financing activities	(3,358)	(5,170)	(3,478)	(3,400)	(4,456)
Net Interest	-	-	-	-	-	o/w Dividends paid	(3,714)	(7,315)	(5,478)	(5,400)	(6,456)
Adj. PBT	8,991	11,162	10,664	12,750	14,353	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(1,487)	(1,845)	(1,660)	(1,985)	(2,234)	o/w Net debt issued/(repaid)	242	1,414	2,000	2,000	2,000
Minority Interest	(6)	(4)	(4)	(5)	(6)	Net change in cash	5,383	507	4,138	7,072	8,477
Adj. Net Income	7,498	9,312	8,999	10,760	12,113	Adj. Free cash flow to firm	3,081	5,891	7,616	10,472	12,933
Reported EPS	2.87	3.57	3.45	4.12	4.64	y/y Growth	(2.2%)	91.2%	29.3%	37.5%	23.5%
Adj. EPS	2.87	3.57	3.45	4.12	4.64						
DPS	1.80	2.10	2.07	2.47	2.78						
Payout ratio	62.7%	58.8%	60.0%	60.0%	60.0%						
Shares outstanding	2,613	2,608	2,610	2,610	2,610						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	18,785	19,274	23,412	30,484	38,961	Gross margin	36.2%	37.3%	38.7%	38.7%	38.7%
Accounts receivable	10,891	11,834	12,131	13,484	14,923	EBITDA margin	28.8%	30.0%	27.9%	30.1%	29.6%
Inventories	5,971	6,799	6,769	7,523	8,306	EBIT margin	23.1%	24.4%	22.5%	24.2%	24.7%
Other current assets	757	1,438	2,349	2,508	2,677	Net profit margin	19.1%	20.3%	19.0%	20.4%	20.8%
Current assets	36,403	39,345	44,661	53,999	64,867	ROE	22.3%	25.4%	22.9%	24.6%	24.6%
PP&E	22,959	26,428	28,992	30,027	31,294	ROA	12.5%	14.0%	12.2%	13.0%	12.8%
LT investments	441	413	408	403	398	ROCE	14.9%	16.7%	14.9%	16.3%	16.6%
Other non current assets	3,450	3,876	3,711	3,801	3,932	SG&A/Sales	10.4%	10.3%	10.4%	10.2%	10.2%
Total assets	63,254	70,062	77,772	88,229	100,491	Net debt/Equity	NM	0.0	NM	NM	NM
Short term borrowings	10,446	17,042	18,027	19,143	21,383	Net debt/EBITDA	NM	0.1	NM	NM	NM
Payables	2,796	3,059	6,244	9,784	13,693	Sales/Assets (x)	0.7	0.7	0.6	0.6	0.6
Other short term liabilities	4,747	5,465	5,478	5,915	6,366	Assets/Equity (x)	1.79	1.82	1.88	1.90	1.92
Current liabilities	17,989	25,566	29,750	34,842	41,442	Interest cover (x)	-	-	-	-	-
Long-term debt	7,213	3,669	3,669	3,669	3,669	Operating leverage	183.1%	139.7%	(124.3%)	174.9%	119.2%
Other long term liabilities	2,367	3,275	3,275	3,275	3,275	Tax rate	16.5%	16.5%	15.6%	15.6%	15.6%
Total liabilities	27,569	32,510	36,694	41,786	48,386	Revenue y/y Growth	18.4%	16.7%	3.6%	11.0%	10.6%
Shareholders' equity	35,694	37,556	41,078	46,438	52,095	EBITDA y/y Growth	27.3%	21.4%	(3.5%)	19.7%	8.7%
Minority interests	(9)	(4)	0	5	11	EPS y/y Growth	32.9%	24.4%	(3.4%)	19.6%	12.6%
Total liabilities & equity	63,254	70,062	77,772	88,229	100,491						
BVPS	13.66	14.40	15.74	17.79	19.96	Valuation					
y/y Growth	13.3%	5.4%	9.3%	13.0%	12.2%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	(1,126)	1,437	(1,716)	(7,672)	(13,909)	P/E (x)	17.5	14.0	14.5	12.2	10.8
						P/BV (x)	3.7	3.5	3.2	2.8	2.5
						EV/EBITDA (x)	12.9	10.8	10.9	8.8	7.7
						Dividend Yield	3.6%	4.2%	4.1%	4.9%	5.6%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Fuyao Glass - A (600660.SS, 600660 CH) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 04, 2015. All share prices are as of market close on the previous business day.

Fuyao Glass - H (3606.HK, 3606 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 04, 2015. All share prices are as of market close on the previous business day.

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